



Chapter 5: Who Gains and Who Loses from Trade?

International Economics, 17th Edition, Pugel

Free Trade Economics: Trump vs Friedman



How Does Free Trade Affects Income Distribution in the Long Run?

	In the United States	In the Rest of the World
Initial product prices:	Wheat cheap, cloth expensive	Wheat expensive, cloth cheap
	 Trade opens: — wheat —→ ← cloth —	
Product prices respond to trade	P_{wheat} up, P_{cloth} down	P_{wheat} down, P_{cloth} up
Production responds to product prices*	Produce more wheat Produce less cloth	Produce less wheat Produce more cloth
Crucial step— National factor markets change	For each unit of cloth sacrificed, many workers and a small amount of land laid off; extra wheat demands few workers and much land	For each unit of wheat sacrificed, much land and few workers laid off; extra cloth demands many workers and little land
National factor prices respond	Wage rates fall and rents rise (in both sectors)	Wage rates rise and rents fall (in both sectors)
Long-run results:	Product prices equalized between countries. Net gains for both countries but different effects on different groups. Winners: U.S. landowners, foreign workers. Losers: U.S. workers, foreign landowners	

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Does Heckscher-Ohlin Explain Actual Trade Patterns?

US-Abundant

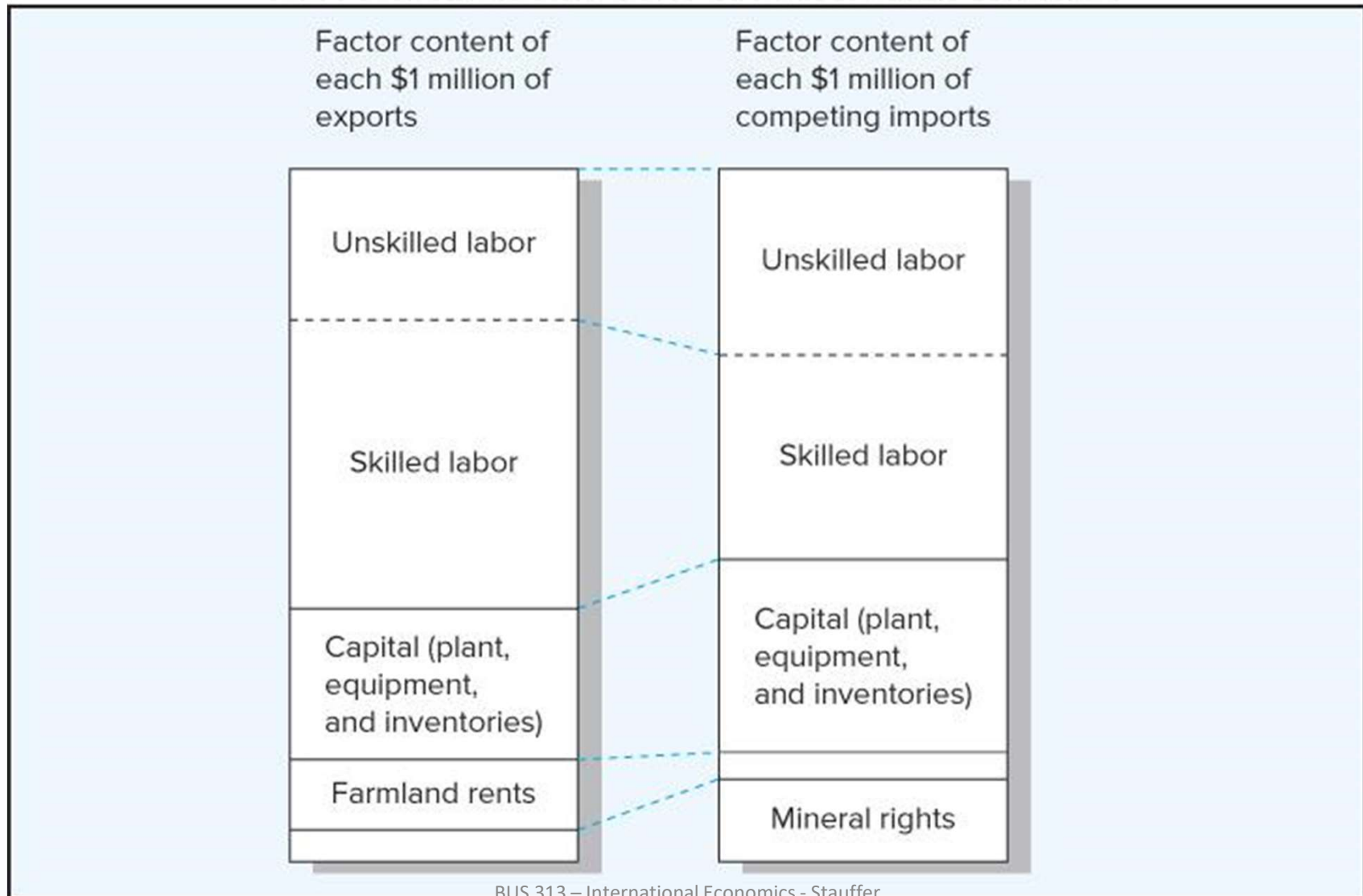
- crop land → net exporter of agricultural products
- coal → net exporter of coal
- skilled labor (scientists, engineers, etc.) → net exporter of technology-intensive products

US-Scarce

- oil → importer
- less-skilled labor → importer of clothing, shoes, toys

What Are the Export-Oriented and Import-Competing Factors? (U.S.)

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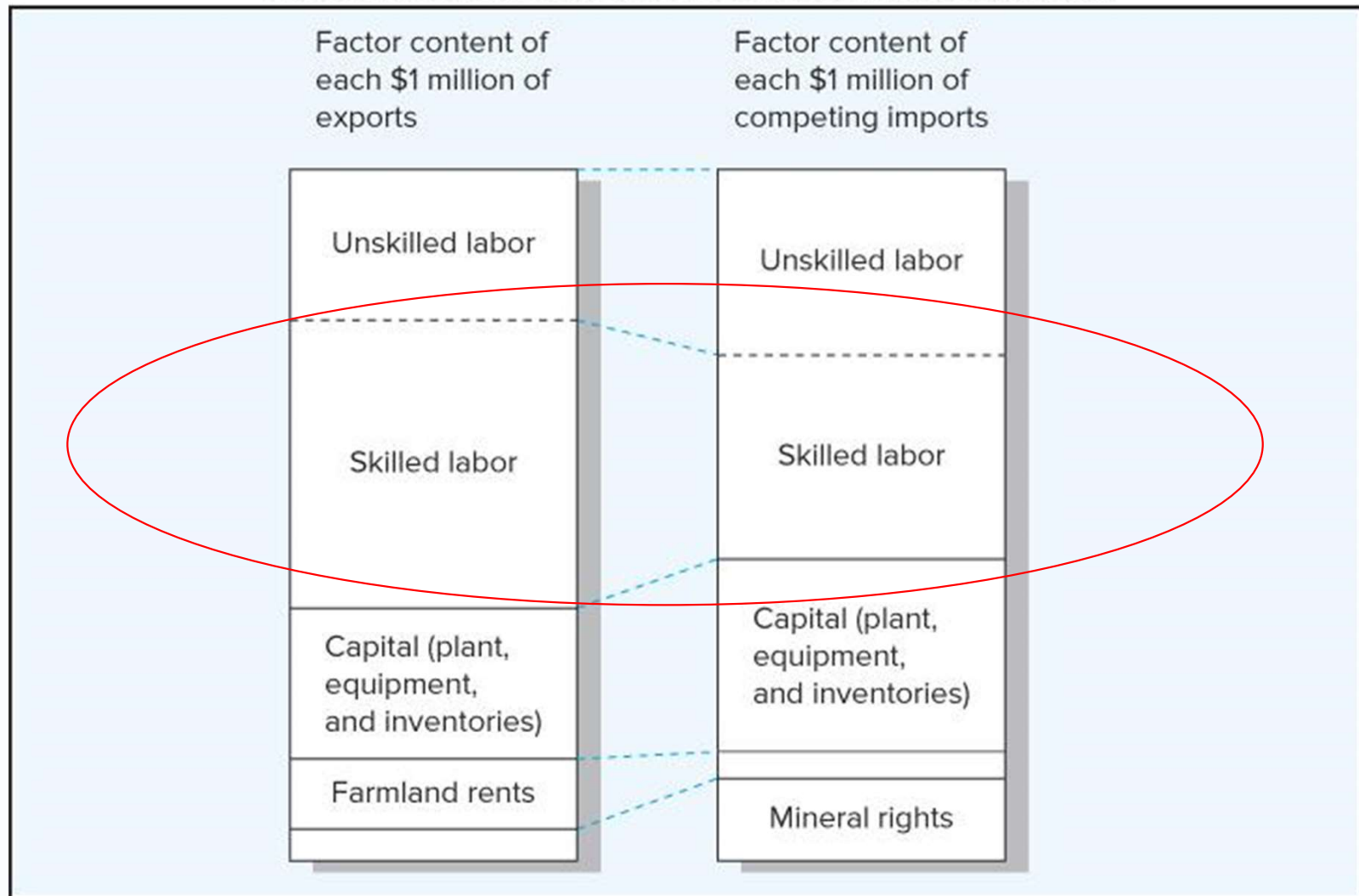
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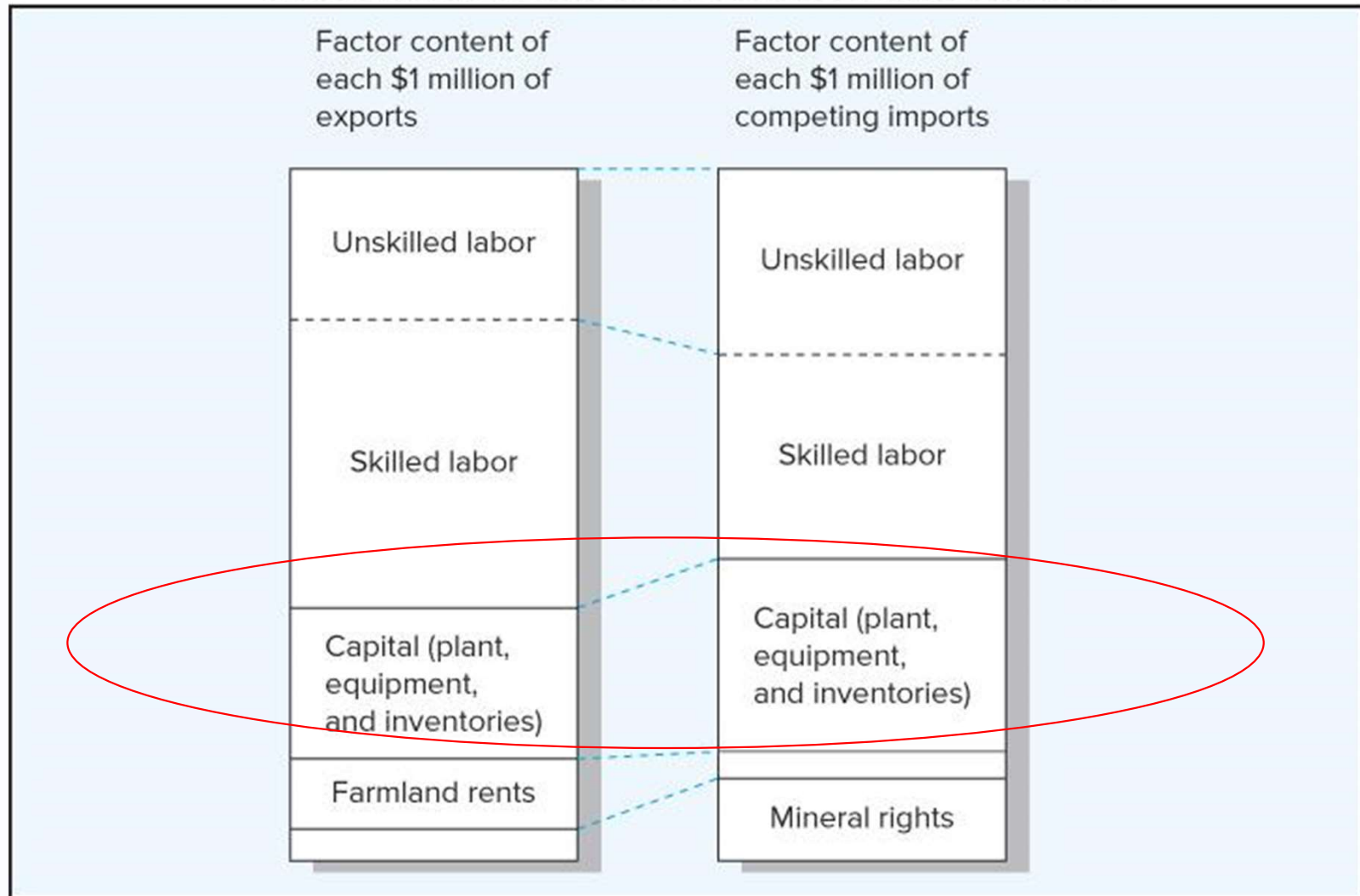
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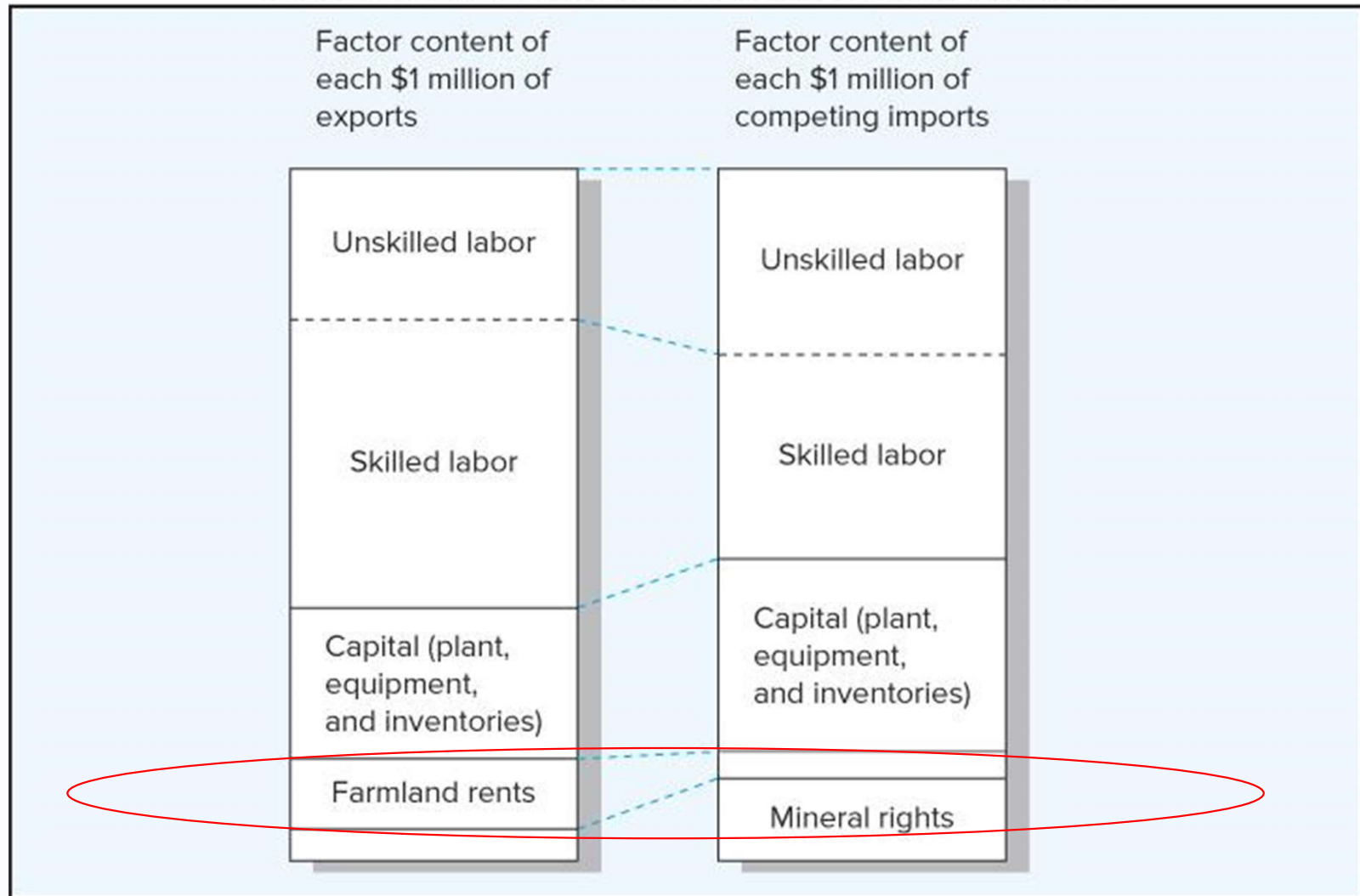
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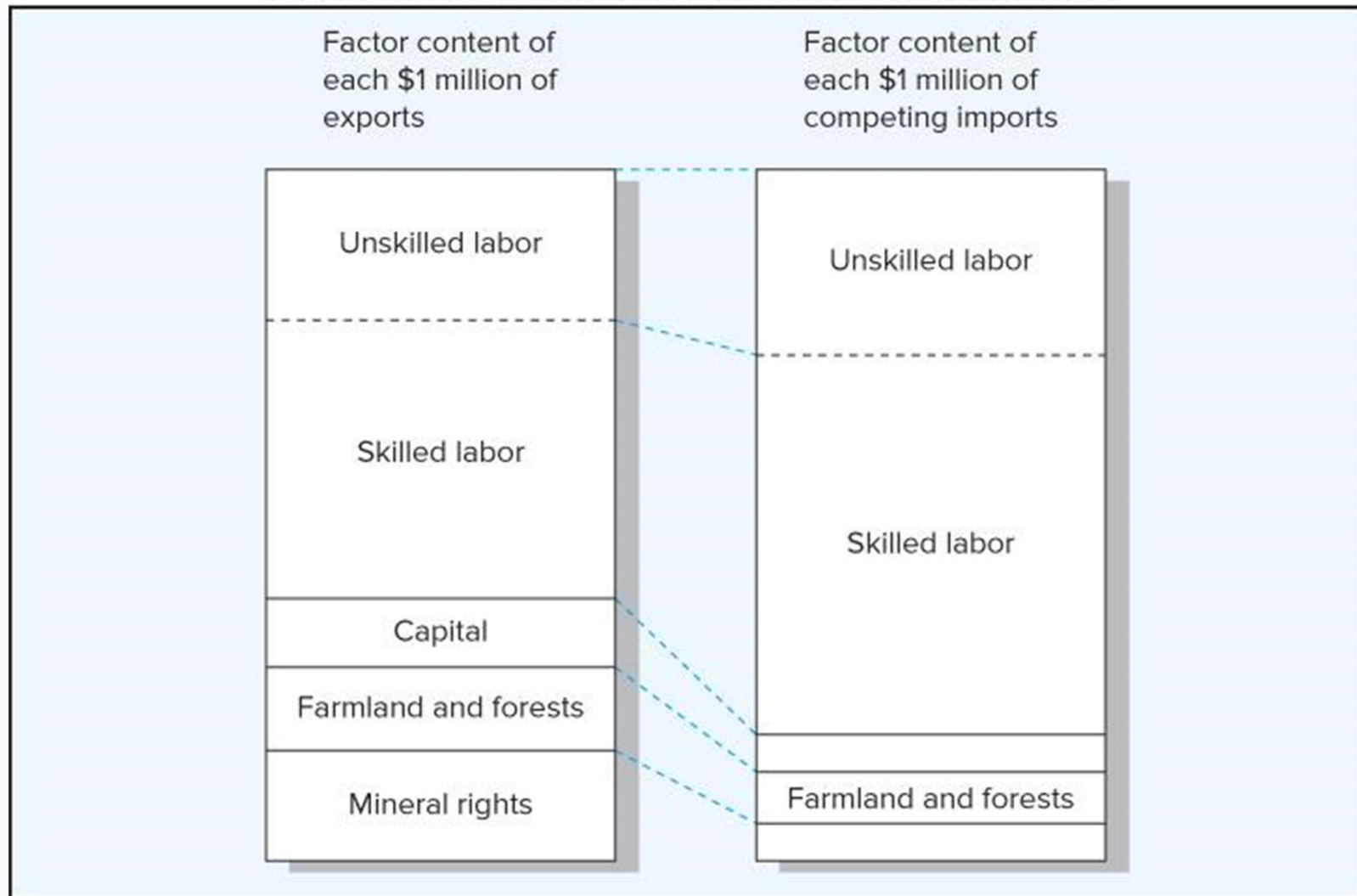
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What are the Export-Oriented and Import-Oriented Factors? (Canada)

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Three Implications of the Heckscher-Ohlin Model

1. The Stolper-Samuelson theorem
2. The specialized-factor pattern
3. The factor-price equalization theorem

Do Factor Prices Equalize Internationally?

International trade tends to make the prices of factor more similar across countries.

- For example, the rapid increase in real wages for factory workers in China

China: Exports and Imports

